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EQUITY Kenya Q1'25 Earnings Note

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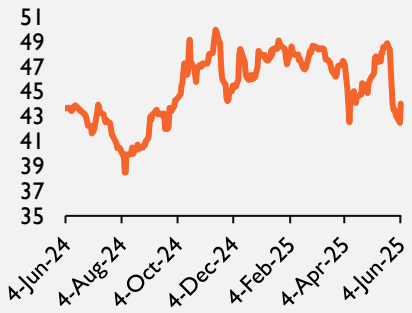
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Equity Group Holdings Q1'25 Earnings Note

June 5th, 2025

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 50.00
52-week low:	KES 38.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-5.3%	-9.5%	-3.3%	0.9%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 44.05	KES 57.05

Summary

- **Equity Group Holdings Profit After Tax plunged 3.9%y/y to KES 14.80 Bn despite a 2.6% y/y increase in Net Interest Income, while Non-Funded Income recorded a significant 11.8% y/y decline to KES 19.61 Bn.** Subsidiaries demonstrated resilience, contributing 42.0% to total net earnings. Key to note, the group's net earnings benefited from a 12.4% y/y decline in interest expenses
- The group reported a 170 bps increase in Yield on interest-earning assets. Concurrently, the cost of funds declined, supporting Net Interest Margin expansion to 7.1%.

Key Highlights

- **Declining Margins:** Net Interest Income grew 2.6% y/y to KES 28.57 Bn, primarily supported by a 12.4% y/y decline in interest expenses to KES 13.32 Bn. This reduction was driven by an 85.7% decrease in placement deposits, which fell to KES 0.2 Bn. Interest from lending businesses remained under pressure, with loans and advances income falling 7.9% y/y to KES 25.16 Bn. Notably, government securities interest grew 4.4% y/y to KES 15.20 Bn as the bank shifted toward safer investments amid rising NPLs. Non-Funded Income saw a significant 11.8% y/y decline, reflecting an industry-wide trend fueled by reduced FX trading income (down 29.9% y/y) due to currency stability versus last year's volatility
- **Increasing Asset Quality Pressures:** Asset quality pressures persisted, with Non-Performing Loans (NPLs) rising 10.3% to KES 132.8 Bn. Consequently, the Gross NPL ratio increased by 1.0% point to 15.5%. As NPLs accumulated, the NPL coverage ratio declined marginally by 7.3% points to 75.7%. The bank adopted prudent measures to manage the deteriorating loan book, raising provisions by 3.2% to KES 51.3Bn. Corporate clients accounted for the largest share of Non-Performing Loans (NPLs) at 26.7%, while the Kenyan unit reported the highest default rate at 19.0%. Notably, the bank increased allocations to government securities relative to loans and advances, prioritizing default risk mitigation.

Balance Sheet Dynamics

The Group registered a 3.8% y/y expansion in total assets to KES 1.75 Tn, representing a 10.0% y/y increase on a constant currency basis. Government securities saw the largest increase of 16.0% y/y to KES 548.84 Bn as the lender prioritized safer government investments. The loan book grew 3.3% y/y to KES 804.69 Bn (7.0% y/y in constant currency), with the Kenyan segment accounting for 52.0% of the portfolio, signaling resilient domestic demand. Total liabilities increased 1.2% y/y to KES 1.48 Tn, supported by a 7.0% y/y rise in customer deposits to KES 1.32 Tn (13.0% growth in constant currency). Reduced deposit deployment to loans was evident from a 2.2%-points decline in the loan-to-deposit ratio to 60.8%, while loans in the South Sudan segment contracted 8.0% amid economic challenges from internal conflict.

Challenged Operating Efficiency

The Cost-to-Income ratio (excluding loan-loss provisions) deteriorated by 7.1% points to 54.2%. This was driven by a 3.8% y/y decline in total operating income to KES 48.18 Bn, which outpaced the 0.6% y/y reduction in operating expenses to KES 29.50 Bn. Notably, loan-loss provisions fell significantly by 44.4% y/y to KES 3.37 Bn, easing the cost of risk by 0.4% points to 0.4%. Unlike some industry peers, the lender increased payroll expenses by 10.8% y/y to KES 8.7 Bn as it embarks on regional expansion.

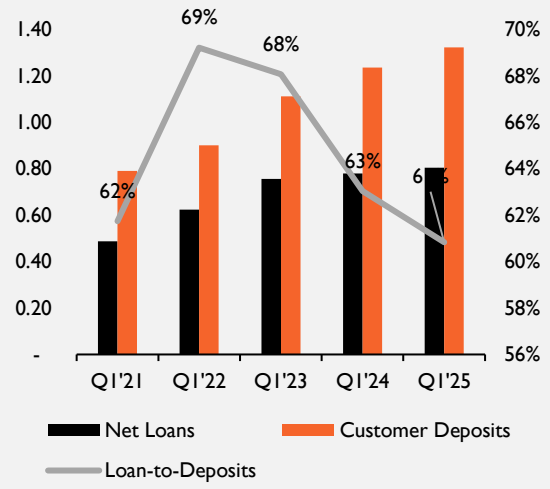
Outlook

We expect Equity Group's growth to remain robust, supported by strong regional subsidiary performance and a resilient insurance unit. The insurance business is well-positioned for growth, evidenced by a 43.0% y/y increase in insurance revenue. Despite pressure on interest income from declining rates, the lender is poised to benefit from a reduced cost of funds, which should lower overall interest expenses. We anticipate the Group will continue leveraging its non-banking businesses, which are increasingly contributing to overall profits (representing 4.0% in Q1'2025). Concurrent technology investments are expected to enhance service delivery and strengthen its competitive advantage

Recommendation

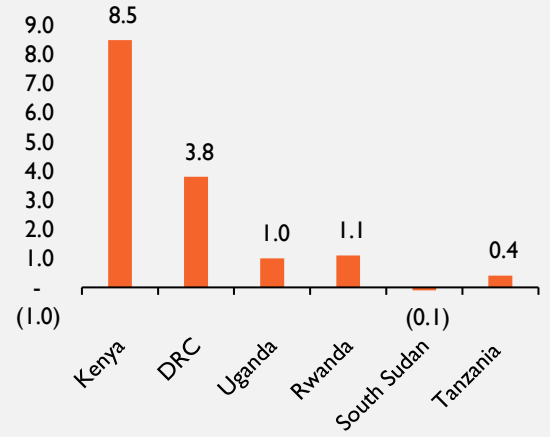
- **We maintain our *BUY* recommendation on Equity Group Holdings, supported by strong subsidiary performance and continued expansion across its non-banking business.** At the current market price, the stock is trading at P/E ratio of 3.4x and a P/B ratio of 0.7x. Our one-year target price for Equity Group Holdings currently stands at KES 57.05 - representing a c.29.5% upside potential from current levels.

Chart 2: Faster Deposit Mobilization



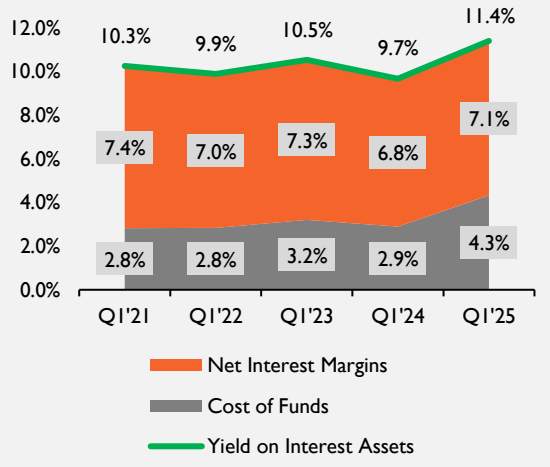
Source: Company filings, AIB-AXYS Research.

Chart 3: Subsidiary Profit After Tax Performance (KES Bn)



Source: Company filings, AIB-AXYS Research.

Chart 4: Rising Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Equity Group Holdings Q1'25 Earnings Note

Income Statement (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Net Interest Income	14.8	19.4	21.7	27.84	28.57	▲ 2.6%
Non-Interest Income	10.9	11.9	18.4	22.24	19.61	▼ (11.8%)
Total Operating income	**25.7**	**31.3**	**40.1**	**50.08**	**48.18**	▼ (3.8%)
Provision for Impairment	(1.3)	(1.8)	(3.5)	(6.07)	(3.37)	▼ (44.4%)
Total Operating expenses	(14.0)	(16.0)	(23.2)	(29.67)	(29.50)	▼ (0.6%)
Profit before tax	11.7	15.3	16.9	20.41	18.68	▼ (8.5%)
Profit after tax	**8.6**	**11.5**	**12.3**	**15.40**	**14.80**	▼ (3.9%)
Core EPS Annualized	9.15	12.24	13.04	16.32	15.69	▼ (3.9%)

Balance Sheet (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Government Securities	183.0	389.4	392.5	473.24	548.84	▲ 16.0%
Loans and Advances	487.7	623.6	756.3	779.29	804.69	▲ 3.3%
Total Assets	**1,066.4**	**1,269.5**	**1,537.7**	**1,685.88**	**1,749.18**	▲ 3.8%
Customer Deposits	789.9	900.9	1,111.2	1,236.35	1,322.80	▲ 7.0%
Total Liabilities	926.0	1,095.3	1,347.0	1,467.10	1,484.51	▲ 1.2%
Total Equities and Liabilities	**1,066.4**	**1,269.5**	**1,537.7**	**1,685.88**	**1,749.18**	▲ 3.8%

Ratio Analysis	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Spreads Analysis						
Yield on Assets	10.3%	9.9%	10.5%	9.7%	11.4%	▲ 1.7%
Cost of Funds	2.8%	2.8%	3.2%	2.9%	4.3%	▲ 1.4%
Net Interest Margin	7.4%	7.0%	7.3%	6.8%	7.1%	▲ 0.3%
ROaE	18.9%	28.1%	25.8%	24.1%	19.9%	▼ (4.2%)
ROaA	2.7%	3.7%	3.4%	3.1%	2.8%	▼ (0.3%)
Profit Margin	34.0%	37.9%	31.9%	32.0%	31.9%	▼ (0.1%)
Operating Efficiency						
Cost to Income Less LLP	49.5%	45.3%	49.2%	47.1%	54.2%	▲ 7.1%
Cost to Assets Less LLP	1.4%	1.2%	1.4%	1.5%	1.5%	▲ 0.1%
Loan to Deposit	61.7%	69.2%	68.1%	63.0%	60.8%	▼ (2.2%)
Asset Quality						
Gross NPL Ratio	12.3%	9.1%	10.2%	14.5%	15.5%	▲ 1.0%
NPL Coverage	55.5%	66.0%	62.0%	83.0%	75.7%	▼ (7.3%)
Cost of Risk	0.3%	0.3%	0.5%	0.8%	0.4%	▼ (0.4%)
Capital Adequacy						
Core Capital/TRWA	14.8%	13.9%	15.5%	15.9%	16.5%	▲ 0.6%
Total Capital /TRWA	18.9%	18.7%	19.8%	18.1%	18.3%	▲ 0.2%
Liquidity	59.3%	56.9%	51.5%	53.4%	57.4%	▲ 4.0%

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